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History of Company Legislation

1.1 History of company legislation in India

The Company Legislation in India has closely followed the Company Legislation in England. The first legislative enactment for registration of Joint Stock Companies was passed in the year 1850 which was based on the English Companies Act, 1844. This Act recognised companies as distinct legal entities but did not introduce the concept of limited liability. The concept of limited liability, in India, was recognised for the first time by the Companies Act, 1857 closely following the English Companies Act, 1856 in this regard. The Act of 1857, however, kept the liability of the members of banking companies unlimited. It was only in 1858 that the limited liability concept was extended to banking companies also. Thereafter in 1866, the Companies Act, 1866 was passed for consolidating and amending the law relating to incorporation, regulation and winding-up of trading companies and other associations. This Act was based on the English Companies Act, 1862. The Act of 1866 was recast in 1882 to bring the Indian Company law in conformity with the various amendments made to the English Companies Act, 1862. This Act continued till 1913 when it was replaced by the Companies Act, 1913. The Act of 1913 had been passed following the English Companies Consolidation Act, 1908. It may be noted that since the Indian Companies Acts closely followed the English Acts, the decisions of the English Courts under the English Company law were also closely followed by the Indian Courts. Till 1956, the business companies in India were regulated by this Act of 1913. Certain amendments were, however, made in the years 1914, 1915, 1920, 1926, 1930 and 1932. The Act was extensively amended in 1936 on the lines of the English Companies Act, 1929. Minor amendments were made a number of times.

At the end of 1950, the Government of independent India appointed a Committee under the Chairmanship of Shri H.C. Bhaba to go into the entire question of the revision of the Indian Companies Act, with particular reference to its bearing on the development of Indian trade and industry. This Committee examined a large

number of witnesses in different parts of the country and submitted its report in March 1952. Based largely on the recommendations of the Company Law Committee, a Bill to enact the present legislation namely the Companies Act, 1956 was introduced in Parliament. This Act, once again largely followed the English Companies Act, 1948. The major changes that the Indian Companies Act, 1956 introduced over and above the Act of 1913 related to : (a) the promotion and formation of companies; (b) capital structure of companies; (c) company meetings and procedures; (d) the presentation of company accounts, their audit, and the powers and duties of auditors; (e) the inspection and investigation of the affairs of the company; (f) the constitution of Board of Directors and the powers and duties of Directors, Managing Directors and Managers, and (g) the administration of Company Law.

The Companies Act, 1956 has been amended several times since then. The major amendments were introduced in the years 1960, 1962, 1963, 1964, 1965, 1966, 1967, 1969, 1974, 1977, 1985, 1988, 1991, 2001, 2002, 2006, 2013, 2015 and 2017.

In the wake of economic reforms process initiated from July, 1991 onwards, the Government recognized that many provisions of the Companies Act had become anachronistic and were not conducive to the growth of the Indian corporate sector in the changing environment. Consequently, an attempt was made to recast the Act, which was reflected in the Companies Bill, 1993. The said Bill, however, was subsequently withdrawn. As part of continuing reforms process and in the wake of enactment of the Depositories Act, 1996, certain amendments were, however, incorporated by the Companies (Amendment) Act, 1996.

In the year 1996, a Working Group was constituted to rewrite the Companies Act, following an announcement made by the then Union Minister for Finance in his Budget Speech to this effect. The main objective of the Group was to re-write the Act to facilitate healthy growth of Indian corporate sector under a liberalized, fast changing and highly competitive business environment. Based on the report prepared by the Working Group and taking into account the developments that had taken place in corporate structure, administration and the regulatory framework the world over, the Companies Bill, 1997 was introduced in Rajya Sabha on August 14, 1997 to replace by repealing Companies Act, 1956. In the meantime, as part of reforms process and in view of the urgency felt by the Government, the President of India promulgated the Companies (Amendment) Ordinance, 1998 on October 31, 1998, which was later replaced by the Companies (Amendment) Act, 1999 to surge the capital market by boosting morale of national business houses besides encouraging FIIs as well as FDI in the country. The amendments brought about number of important changes in the Companies Act. These were in consonance with the then prevailing economic environment and to further Government policy of deregulation and globalisation of economy. The corporate sector was given the facility to buy-back company's own shares, provisions relating to investments and loans were rationalized and liberalized besides the requirement of prior approval of the Central Government on investment decisions was dispensed with, and companies were allowed to issue "sweat equity" in lieu of intellectual property. In order to make

accounts of Indian companies compatible with international practices, the compliance of Indian Accounting Standards was made mandatory and the provisions for setting up of National Committee on Accounting Standards was incorporated in the Act. For the benefit of investors, provisions were made for setting up of “Investor Education and Protection Fund” besides introduction of facility of nomination to shareholders, debenture holders, etc.

The year 2000, witnessed another bouquet of amendments in the form of Companies (Amendment) Act, 2000 in order to provide certain measures of good corporate governance and for ensuring meaningful shareholders’ democracy in the working of companies.

Companies (Amendment) Act, 2001 amended provisions of section 77A relating to buy-back of shares allowing Board of Directors (instead of through special resolution) to buy-back shares up to 10% of the paid-up capital and free reserves provided not more than one such buy-back is made during a period of 365 days.

Companies (Amendment) Acts, 2002: Two Companies (Amendment) Acts were passed in December 2002, namely, Companies (Amendment) Act, 2002 and Companies (Second Amendment) Act, 2002. The Companies (Amendment) Act, 2002 provided for setting-up and regulation of cooperatives as body corporate under the Companies Act, 1956 to be called ‘Producer Companies’. The objective of the Companies (Second Amendment) Act, 2002 was to expedite the winding-up process of the companies, facilitate rehabilitation of sick companies and protection of workers interest. The Second Amendment Act proposed to rationalise the procedure relating to winding up so that resources could be utilised for better purposes rather than blocking them in sick undertakings and thus, help in reducing the hardships to workers and other interested parties. The Second Amendment Act provided for repeal of SICA and dissolution of BIFR. At the same time, it sought to establish a National Company Law Tribunal providing it with powers for expediting the winding up procedure.

Companies (Amendment) Act, 2006 brought into force w.e.f. 1-11-2006, introduced provisions with respect to : (A) Directors Identification Number (DIN); and (B) Electronic filing of various returns and forms.

Companies Act, 2013: The Companies Act, 1956 has now been replaced by Companies Act, 2013, a more contemporary, simplified and rationalized legislation. The objective behind this new Act is said to be to bring our company law at par with the best global practices. The Act of 2013 has, *inter alia*, introduced ideas like Corporate Social Responsibility (CSR), class action suits and a fixed term for independent directors. It also tightens provisions for raising money from the public, prohibits any insider trading by company directors or key managerial personnel by treating such activities as a criminal offence. However, it permits shareholders’ agreements providing for ‘Right of first offer’ or ‘Right of first refusal’ even in case of public companies. Further, it requires certain companies to earmark 2 per cent of the average profit of the preceding three years for CSR activities and make a disclosure to shareholders about the policy adopted in the process.

Companies (Amendment) Act, 2015: Companies (Amendment) Act, 2015 which received the Presidential assent on 25th May, 2015 and became operative w.e.f. 29th May, 2015 is designed to address some issues raised by stakeholders such as Chartered Accountants and other professionals. Highlights of the amendments include:

1. Omitting requirement for minimum paid up share capital, and consequential changes. (For ease of doing business)
2. Making common seal optional and consequential changes for authorization for execution of documents. (For ease of doing business)
3. Prescribing specific punishment for deposits accepted under the new Act. This was left out in the Act inadvertently. (To remove an omission)
4. Prohibiting public inspection of Board resolutions filed in the Registry. (To meet corporate demand)
5. Including provision for writing off past losses/depreciation before declaring dividend for the year. This was missed in the Act but included in the Rules.
6. Rectifying the requirement of transferring equity shares for which unclaimed/unpaid dividend has been transferred to the IEPF even though subsequent dividend(s) has been claimed. (To meet corporate demand)
7. Enabling provisions to prescribe thresholds beyond which fraud shall be reported to the Central Government (below the threshold, it will be reported to the Audit Committee). Disclosures for the latter category also to be made in the Board's Report. (Demand of auditors)
8. Exemption u/s 185 (Loans to Directors) provided for loans to wholly owned subsidiaries and guarantees/securities on loans taken from banks by subsidiaries. (This was provided under the Rules but being included in the Act as a matter of abundant caution).
9. Empowering Audit Committee to give omnibus approvals for related party transactions on annual basis. (Align with SEBI policy and increase ease of doing business)
10. Replacing 'special resolution' with 'ordinary resolution' for approval of related party transactions by non-related shareholders. (To meet problems faced by large stakeholders who are related parties)
11. Exempt related party transactions between holding companies and wholly owned subsidiaries from the requirement of approval of non-related shareholders. (Corporate demand)
12. Bail restrictions to apply only for offence relating to fraud u/s 447. (Though earlier provision is mitigated, concession is made to Law Ministry & ED)
13. Winding up cases to be heard by 2-member Bench instead of a 3-member Bench. (Removal of an inadvertent error)
14. Special Courts to try only offences carrying imprisonment of two years or more. (To let magistrate try minor violations).

1.2 The Companies (Amendment) Act, 2017 - Salient Features

The Companies (Amendment) Act, 2017 has introduced several amendments to the Companies Act, 2013, realigning provisions to improve corporate governance and ease of doing business in India while continuing to strengthen compliance and investor protection.

Though the 2013 Act was a step in the right direction as it introduced significant changes in areas of disclosures, investor protection, corporate governance, etc., there were multiple instances of conflicts and overreach within the legislation leading to difficulties in its implementation. Accordingly, the Companies Law Committee (CLC) was constituted in June 2015 with the mandate of making recommendations to resolve issues arising from the implementation of the 2013 Act. Based on the recommendations of the report of the CLC, the Government introduced the Companies (Amendment) Bill, 2016 (**Bill**) in the Lok Sabha on 16 March 2016 which was passed by the Lok Sabha on 27 July 2017 and by the Rajya Sabha on 19 December 2017. The Companies (Amendment) Act, 2017 (**Amendment Act**) received the assent of the President on 3 January 2018, but different provisions of the Amendment Act will be brought into force on different dates by the Central Government. Proposing a slew of changes, the Amendment Act seeks to realign many provisions to ease corporate governance and doing business in India while continuing to strengthen compliance and investor protection.

Following is the summary of the important changes made through the Companies (Amendment) Act, 2017:

1. Reduction in Minimum Membership

Section 3A has been inserted by the Amendment Act, 2017 which provides for personal liability of members in certain cases. It provides that:

If at any time the number of members of a company is reduced, in the case of a public company, below seven, in the case of a private company, below two, and the company carries on business for more than six months while the number of members is so reduced, every person who is a member of the company during the time that it so carries on business after those six months and is cognisant of the fact that it is carrying on business with less than seven members or two members, as the case may be, shall be severally liable for the payment of the whole debts of the company contracted during that time, and may be severally sued therefor.

2. Issue of shares at a Discount

Issue of shares at a discount to face value was prohibited under the 2013 Act.

The Amendment Act permits companies to issue shares at a discount to its creditors under a statutory resolution plan or debt restructuring scheme in accordance with any guidelines, directions or regulations specified by the Reserve Bank of India.

3. Issue of Sweat Equity Shares

Under the 2013 Act, sweat equity shares could not be issued within 1 year of commencement of business of the company.

The Amendment Act seeks to remove this restriction

4. Private Placement Process

The Amendment Act expressly states that a private placement offer cannot be renounced in favour of a third party.

5. Contents of a prospectus

The Amendment Act has omitted the provisions that require specific matters to be stated in the prospectus and provides that the company should provide such information as required by the SEBI in consultation with the Central Government.

6. Liability for Misstatement in the Prospectus

The Amendment Act incorporates a defence against the liability of a director for misleading statements in the prospectus made by an expert, provided the director can prove that he had reasonable ground to believe that the expert making the statement was competent to make it, that such expert had given consent to issue the prospectus and had not withdrawn such consent before registration of the prospectus.

7. Key Managerial Personnel - Definition

The term 'key managerial personnel' (KMP) was defined under section 2(51) of the 2013 Act to mean the chief executive officer, managing director, manager, company secretary, whole time director and chief financial officer.

The Amendment Act expands the definition of KMP by giving the Board of directors the power to designate such other officer, not more than one level below the directors who is in whole-time employment, designated as key managerial personnel by the Board and such other officer as may be prescribed.

8. Resident Director

Section 149(3) of the 2013 Act required every company to have at least one resident director, i.e., a director who has stayed in India for a total period of not less than 182 days during the previous calendar year.

The Amendment Act has modified the residency requirement, by making it applicable to the current financial year instead of the previous calendar year.

9. Independent Director

The Amendment of section 149 of the Act permits an independent director to have limited pecuniary relationships with the company without compromising his independence, such as receiving remuneration as an independent director and having transactions with the company not exceeding 10% of his total income.

10. Number of Directorships

The Amendment Act excludes directorship in dormant companies in determining the limit of 20 companies, so that directorships in dormant companies is not discouraged.

11. Disqualifications for Appointment of a Director

Under section 164 of the 2013 Act, a director could not be reappointed as a director in a company which had failed to file financial statements and annual returns for a continuous period of three years or had not repaid deposits or interest or redeemed debentures on the due date, etc. for a year or more.

The Amendment Act provides that a newly appointed director of a company in default should not incur such disqualification for a period of six months from his appointment, which gives him an opportunity to rectify the defect and avoid this disqualification within such period.

Further, if the existing director of such a company in default incurs disqualification, the office of such director would become vacant in all other companies, except the company which is in default, to ensure that the defaulting company has the requisite number of directors to remedy the default.

12. Register of significant beneficial owners in a company

The substituted section 90 provides that every individual, who acting alone or together, or through one or more persons or trust, including a trust and persons resident outside India, holds beneficial interests, of not less than twenty-five per cent or such other percentage as may be prescribed, in shares of a company or the right to exercise, or the actual exercising of significant influence or control as defined in clause (27) of section 2, over the company (herein referred to as “significant beneficial owner”), shall make a declaration to the company, specifying the nature of his interest and other particulars, in such manner and within such period of acquisition of the beneficial interest or rights and any change thereof, as may be prescribed.

13. Abridged form of annual return

Section 92 has been amended to provide that the Central Government may prescribe abridged form of annual return for “One Person Company”, small company and such other class or classes of companies as may be prescribed.

14. Annual general meeting of an unlisted company

Amended section 96 allows annual general meeting of an unlisted company to be held at any place in India if consent is given in writing or by electronic mode by all the members in advance.

15. Business required to be transacted by means of postal ballot

Section 110 has been amended to provide that any item of business required to be transacted by means of postal ballot may be transacted at a general meeting by a company which is required to provide the facility to members to vote by electronic means under section 108.

16. Consolidated Financial Statements

Section 129(3) ‘as amended’ provides that where a company has one or more subsidiaries or associate companies, it shall, in addition to financial statements

provided under sub-section (2), prepare a consolidated financial statement of the company and of all the subsidiaries and associate companies in the same form and manner as that of its own and in accordance with applicable accounting standards, which shall also be laid before the annual general meeting of the company along with the laying of its financial statement under sub-section (2).

17. Overall Maximum Managerial Remuneration

A company can now pay remuneration to its managerial personnel exceeding 11% of the net profits by passing a resolution in general meeting. Approval of the Central Government, as contemplated under the Act of 2013 shall not be required.

1.3 Companies (Amendment) Act, 2019:

1. Section 2 - Definition of "financial year"

The authority to make application for adopting a different year as "financial year" has been shifted from "Tribunal" to "Central Government".

2. Section 10A - Re-introduction of Commencement of Business Declaration

The Ordinance has introduced section 10A in the Act which mandates that every company incorporated after commencement of the Ordinance shall not commence business or exercise any borrowing powers unless it satisfies the following two conditions:

- (i) A declaration is filed by a director within a period of 180 days of the date of incorporation of the company with the Registrar in the prescribed form, stating that every subscriber to the memorandum has paid the value of the shares agreed to be taken by him on the date of making such declaration; and
- (ii) A declaration is filed by the Company with the Registrar furnishing verification of its registered office within a period of 30 days from its incorporation.

In case no declaration is filed within 180 days of incorporation and the Registrar has reasonable cause to believe that the Company is not conducting any business or operations, the Registrar may initiate the removal of the Company's name from the register of companies.

3. Section 12 - Physical Verification of the Registered Office

Section 12(9) has been introduced through the Ordinance. As per the same, if the Registrar has reasonable cause to believe that the Company is not carrying on any business or operations, he may cause a physical verification of the registered office of the Company in the prescribed manner. If any default is found to be made on such verification, the Registrar may initiate action for removal of the Company's name from the register of companies.

4. Approval for Conversion of Public Company into a Private Company

The Ordinance provides that any alteration of articles of association having the effect of conversion of a public company into a private company will not be valid unless it is approved by an order of the Central Government on an application made in a prescribed manner. Earlier, National Company Law Tribunal ("NCLT") was responsible for granting this approval.

5. Section 53 - Prohibition on issue of shares at discount

Where a company contravenes the provisions of section 53, sub-section (3), as amended by the Ordinance lays down that the company and every officer-in-default shall pay a penalty which may extend to an amount raised through issue of shares at discount or ₹ 5 lakhs, whichever is less and the company shall also be liable to refund the amount with interest at the rate of 12% p.a. from the date of issue of shares to the respective persons to whom the shares were issued.

6. Section 64 - Notice to be given to Registrar for alteration of share capital

Existing law provided for fine on the company and officer-in-default whereas the Ordinance lays down for penalty on the Company and every officer-in-default with Rs. 1000 for each day during default or ₹ 5 lakhs, whichever is less.

7. Section 77 - Registration of Charges

Section 77 of the Act which talks about registration of charges has been amended through the Ordinance. As per such amendment, in case of charges created by the Company before November 2, 2018, the Registrar may, on application by the company, allow registration of the charge, within a period of 300 days of such charge creation. If the registration is not made within 300 days, the registration of the charge can be made within six months from the date of commencement of the Ordinance.

In case of charges created after November 2, 2018 the Registrar may on application by the Company allow registration of the charge within 60 days of such charge creation. If the charge is not registered within the aforesaid period, the registration shall be made within an additional period of 60 days after payment of the prescribed *ad valorem* fees.

8. Section 164 - Disqualification for Appointment of a Director

A new provision for disqualification of a person for appointment as a director has been introduced as per which if a person holds more than the total number of directorships allowed as per the Act, then he will be disqualified for being appointed as director of the Company. The Act allows a person to hold not more than 20 directorships, out of which directorship in public companies cannot exceed 10.

9. Section 441 - Power of Regional Director to Compound Offences

Offences (excluding offences punishable with imprisonment or with imprisonment and fine), carrying maximum amount of fine not exceeding ₹ 25 Lacs will now be compounded by the Regional Director or any authorized officer of the Central Government. The earlier limit was up to ₹ 5 Lacs only, and any matter beyond such limit had to be compounded by the NCLT.

Companies (Amendment) Act, 2020:

Highlights of the Companies (Amendment) Act, 2020 have been discussed in the beginning of the Book - See **Pg. I-21**.

Test your knowledge

1. Discuss briefly the history of company law in India. Do you agree that the company legislation in India has closely followed the English Company Law ?